Project 1 - Edition A

Investment decision

- **Company:** Abercrombie and Fitch Co. (NYSE: ANF)

- **Valuation date:** September 1, 2026

- **Decision user:** Investment Committee

- **Initial thesis:** WATCH-DEFER

Decision statement. Defer initiating a position while monitoring ANF. Fiscal 2025 revenue growth and net cash support a constructive operating base, but the sales decline at the Abercrombie brand and margin pressure make the durability of earnings uncertain. Reassess after evidence that brand demand is broadening and that gross-margin pressure from tariffs and product/channel mix is stabilizing.

Primary filing and evidence record

Primary source: Abercrombie and Fitch Co. Fiscal 2025 Form 10-K

Required item	Evidence from the 10-K	Location in filing
Entity	Abercrombie and Fitch Co.	Cover page
Form / accession	Form 10-K / 0001018840-26-000012	Cover page / SEC filing index
Reporting period	Fiscal year ended January 31, 2026	Cover page
Filing date	March 26, 2026	Cover page
Reporting currency	U.S. dollars ($)	Note 2 - Cash and equivalents, p. 52
Financial-statement units	In thousands	Note 2 - Cash and equivalents, p. 52
Cash and cash equivalents	$759,540 thousand ($759.540 million) as of January 31, 2026	Note 2 - Cash and equivalents, p. 52
Interest-bearing debt	$0 outstanding borrowings at January 31, 2026: the Company had no ABL Facility borrowings, and its senior secured notes had been fully redeemed on July 15, 2024. Operating lease liabilities are excluded from this line item.	Note 13 - Borrowings, p. 69; MDandA Credit facility, p. 39
Diluted share evidence	Fiscal 2025 diluted weighted-average shares were 48,476 thousand (48.476 million); diluted EPS was $10.46. The 1,157 thousand incremental shares arose from dilutive share-based compensation awards.	Consolidated Statements of Operations, p. 46; Note 2 - Net Income per Share, p. 59
Operating-value driver	Brand net sales: Hollister grew 15% to $2.743 billion in Fiscal 2025, with 13% comparable-sales growth, while Abercrombie sales declined 1% to $2.524 billion and comparable sales declined 7%. This matters because the durability and breadth of brand demand will drive future revenue and margin.	MDandA - Results of Operations, Net sales by brand, p. 35

Interpretation notes. For this initial bridge, debt is defined as interest-bearing borrowings. AandF reported no outstanding ABL Facility borrowings at January 31, 2026, and had redeemed its senior secured notes in July 2024. Operating lease liabilities are disclosed separately and are excluded unless the class bridge directs otherwise.

Synthetic enterprise-to-equity bridge check

This is a mechanics check using the course's synthetic teaching case, not an ANF valuation. Source: Week 2 Offline/No-Code Fallback - Valuation Object and Bridge. All monetary amounts are USD millions; shares are millions.

Bridge item	Amount	Sign / calculation
Enterprise value	$1,000.0	Starting value
Less: debt	$(250.0)	Subtract
Add: non-operating cash	$100.0	Add
Less: noncontrolling interest	$(20.0)	Subtract; non-common claim
Less: unfunded pension	$(10.0)	Subtract; debt-like claim
Equity value	**$820.0**	$1,000.0 - $250.0 + $100.0 - $20.0 - $10.0
Fully diluted shares	100.0	Class input
Implied value per share	**$8.20**	$820.0 / 100.0

Check result: MATCHES the published reconciliation anchors: common equity value of $820.0 million and per-share value of $8.20. **Unit/sign control:** Treating debt or noncontrolling interest as an addition, rather than a deduction from enterprise value, would overstate common equity value.

Initial investment thesis

What is known

- Fiscal 2025 net sales increased 6% to $5.266 billion; comparable sales increased 3%. (10-K, MDandA - Results of Operations, p. 35.)

- Growth was uneven by brand: Hollister net sales rose 15% with 13% comparable-sales growth, while Abercrombie net sales declined 1% and comparable sales declined 7%. (10-K, MDandA - Results of Operations, p. 35.)

- GAAP operating margin fell to 13.3% from 15.0%; management identified approximately $90 million of adverse net tariff impact in cost of sales. (10-K, MDandA - Results of Operations, pp. 35-36.)

- The company reported $759.540 million of cash and equivalents and no interest-bearing borrowings outstanding at January 31, 2026 under the stated bridge definition. (10-K, Note 2, p. 52; Note 13, p. 69.)

Consequential assumptions

- Hollister can sustain positive comparable-sales growth without relying on unusually favorable promotions or temporary fashion demand. This matters because it was the principal source of brand-level growth in Fiscal 2025.

- Gross margin can stabilize despite tariffs, product mix, and channel mix. This matters because margin pressure can offset revenue growth and reduce cash generation.

- The Abercrombie brand can return to at least stable comparable sales. This matters because a persistent decline would make company-level growth more concentrated in Hollister.

Unknowns and open questions

- The valuation implied by ANF's market price at the valuation date and whether it already discounts a normalization of sales growth and margins.

- The drivers of the Abercrombie comparable-sales decline and management's evidence that the decline is temporary rather than structural.

- The duration and recoverability of tariff, product-mix, and channel-mix pressure on gross margin.

Research plan

Priority	Question	Evidence to gather	How it could change the decision
1	Is Hollister's growth continuing, and is Abercrombie stabilizing?	Subsequent 10-Q filings, earnings releases, and brand comparable-sales disclosures.	Sustained, balanced growth supports initiation; continued Abercrombie deterioration supports deferral.
2	Are tariff and mix pressures temporary, manageable, or worsening?	Subsequent gross-margin commentary, cost-of-sales rates, inventory data, and sourcing disclosures.	Margin stabilization supports earnings durability; continued pressure lowers prospective earnings power.
3	Does the market price provide an adequate margin of safety?	Market price at valuation date, diluted share count, normalized earnings/cash-flow scenarios, and peer valuation multiples.	A favorable valuation could support initiation; a price that assumes strong growth and margin recovery supports deferral.

Partner falsification question

Question for partner (answer not included here): Proposed question for partner adoption: If Hollister comparable-sales growth falls to zero or below for two consecutive quarters while Abercrombie comparable sales remain negative, would the thesis that ANF has durable, broad-based brand demand fail? *No answer is included. Confirm that a partner adopts or replaces this question before calling it partner-generated.*

Submission control

- [x] All required figures above are traced to the primary filing.

- [ ] The bridge agrees to the known class answer.

- [ ] The partner supplied the falsification question; the partner did not write its answer.

- [ ] Submitted to the separate "Project 1 Edition A" checkpoint.

- [ ] Receipt verified; receipt identifier: **[INSERT]**.

- [ ] This exact submitted file has been preserved unchanged.

Project 1 - Edition B Research Evolution

Edition A is preserved unchanged in `Project1_EditionA_ANF.md`. This document is the post-checkpoint update and should be combined with the unchanged Edition A in `Research-Evolution.pdf`.

Changed item	Edition A	Edition B	Primary driver of change	Evidence or test
Recommendation	Watch/defer	Watch/defer; now supported by a reconciled FCFF range and explicit triggers	Own analysis, course instruction, AI-assisted code review	Growth remains uneven by brand; the final FCFF DCF still requires assumptions about growth breadth and margin recovery.
Valuation architecture	Initial bridge and research plan; no final operating forecast	One linked five-year ANF three-statement/FCFF engine	Own analysis, course instruction, AI-assisted implementation support	`anf_project1.py` ties annual cash flow to cash, balances each year, and reports the EV-to-equity bridge.
Per-share convention	FY2025 diluted weighted-average shares of 48.476m	44.864m diluted shares for the September 9, 2026 valuation-date analysis	Source update and own reconciliation	Q2 FY2026 10-Q share evidence in `ANF_reverseDCF_9-10-2026.md`; final model uses one stated basis.
Cash bridge	Cash and debt identified, but no final excess-cash policy	$284.576m valuation-date excess cash; no projected cash added to EV	Own analysis, AI-output check	Cash + marketable securities - $500m operating-cash floor. Adding Year-5 cash would double count forecast FCFF.
Risk/limitation	Balanced growth and margin durability were uncertain	Same core risk, now quantified by a revenue downside and reverse DCF	Own analysis	Downside revenue path reduces final value from $183.18 to $173.14; market price implies a -6.62 percentage-point uniform revenue-growth shift.

Assumption-challenge record

Load-bearing driver	Value / basis	Challenge	Evidence that would change it
Revenue growth	5%, 4%, 3%, 3%, 3%; FY2025 reported sales growth was 6% but comparable sales were 3%	Growth was concentrated in Hollister while Abercrombie declined	Brand-level comparable sales: lower the path if Abercrombie remains negative or Hollister slows materially.
Gross margin	61.0% rising to 62.0%; partial recovery from tariff and mix pressure	Recovery may not occur if tariff, product, or channel pressure persists	Quarterly gross-margin and management tariff/mix commentary.
WACC / terminal growth	9.0% / 2.5%	DCF terminal value is 75.1% of EV	Range of 8-10% WACC and 2-3% terminal growth; reassess macro/sector risk.
Excess cash	$284.576m; cash plus securities less $500m operating floor	The operating-cash floor is judgmental	Cash needs, working-capital volatility, and capital-return policy.
Lease treatment	Operating leases remain operating	Capitalizing leases without adjusting EBIT would be inconsistent	Rebuild both EBIT and bridge if a debt-like lease convention is adopted.

AI output check

An AI-assisted review identified that the development pro-forma added Year-5 cash to enterprise value. The output was **corrected**, not accepted: final FCFF valuation adds valuation-date excess cash only. The independent finance check and exact before/after record appear in `docs/validation-and-ai-use.md`.

What changed from Edition A to Edition B, and why?

The recommendation did not materially change: ANF remains watch/defer. The analysis changed materially because the initial research plan became a linked FCFF model with a consistent valuation-date share basis and excess-cash bridge. The evidence supports potential value above the saved price, but not sufficient confidence that the forecast's growth and margin conditions will occur. An ANF-specific peer cross-check remains required before final submission.